

REVENUE MEMORANDUM CIRCULAR NO. 30-2023 issued on March 15, 2023 reiterates the basis for the computation of the Total Landed Value of imported automobiles in relation to the processing of applications for Electronic Authority to Release Imported Goods (eATRIG) submitted by importers of automobiles. Per Sec. 2 (h) of Revenue Regulations No. 25-2003:

*"(h) **TOTAL LANDED VALUE** - shall refer to the total of the (i) market value of the motor vehicles imported as indicated in the motor vehicle reference books, such as the Japanese and U.S. Red Book, Karo and World Car Book on automobile utility vehicles and other motor vehicles, or the dutiable value as defined in Sec. 201 of the Tariff and Customs Code of the Philippines as amended, whichever is higher; (ii) customs duties paid on the imported goods; and (iii) all other charges arising from, or incident to, the importation."*

Based on the above definition, it is reiterated that in the computation of the Total Landed Value of imported automobiles, items (i), (ii) and (iii), as enumerated above, shall be considered. The BIR uses the *U.S. Auto Red Book Online Price Digests* as its reference for determining the proper market valuation of imported automobiles.

The computation of the Ad Valorem Tax due on such imported automobiles shall be based on the following:

<i>Description</i>	<i>Basis of Valuation (per Auto Red Book Online Price Digests)</i>
1. Importer and at the same time engaged in business as Dealer of Automobiles	Wholesale Price
2. Importer of Automobiles for personal or company use or not engaged in business as Dealer of Automobile	Retail Price

For purposes of this Circular, **Item 1, "Importer and at the same time engaged in business as Dealer of Automobiles"** shall mean that the importer/dealer of automobiles must satisfy the following requirements:

- a. He/she/it must be a holder of Permit to Operate (PTO) as Importer and Dealer of automobiles for Excise Tax purposes;
- b. Has dealership agreement/contract with foreign suppliers/ manufacturers;
- c. Maintains a showroom or registered storage/warehouse facility;
- d. Imports by bulk or a minimum of twelve (12) units in a twelve-month period; and
- e. The imported automobiles are for sale to customers.

The computation of the Ad Valorem Tax due on automobiles in cases where Importers do not satisfy the foregoing requirements shall be based on retail price.